

Here is what Warren Buffett wrote about fixed-income investing in his 2012 annual letter to Berkshire Hathaway, Inc., shareholders:

They are among the most dangerous of assets. Over the past century these instruments have destroyed the purchasing power of investors in many countries, even as these holders continued to receive timely payments of interest and principal Right now, bonds should come with a warning label.

The question then is should one ever have a permanent allocation to bonds when absolute (and dual) momentum can reduce the downside exposure of a stock portfolio? Absolute momentum uses bonds, but only when stocks are weak and bonds are strong. Bonds were valuable in 2008, for example, when stocks were down sharply. A dynamic asset allocation methodology like absolute momentum will utilize either stocks or bonds, but only at the most appropriate times. It can give the best of both worlds while reducing the performance drag that comes from a permanent allocation to bonds.

Later I will show how conservative investors, such as those past or nearing retirement age or with a strong aversion to risk, can use a modest allocation to bonds in order to dampen the short-run volatility of a dual momentum portfolio. I will also show how to apply dual momentum to the bond market itself in order to enhance bond returns and reduce their downside exposure. Due to cognitive dissonance and anchoring bias, it may take the next serious bear market in bonds for investors to give up the notion that permanently holding a substantial amount of bonds in their long-term portfolios is the prudent thing to do.

RISK PARITY, REALLY?

In recent years, some investors have been looking in the opposite direction by greatly increasing their fixed-income exposure. There are a number of “risk parity” programs that hold more than 75% of their portfolios in bonds in order to equalize stock and bond volatility.⁷ Because bonds return less than stocks, these programs often use leverage to boost their expected returns back up to acceptable levels. This may not be such a good idea, given that interest rates are now near historic lows. Risk in leveraged portfolios has